BERNSTEIN
SOCIETE GENERALE GROUP

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Estimate Change


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**U.S. SMID-Cap Software**

## ServiceNow Inc

**Rating**

**Outperform**

**Price Target**

**NOW** **248.00 USD** (236.00 *OLD*)

# ServiceNow (NOW) Q2'26: beats and raises are back?!?

ServiceNow's Q2'26 provided a much-needed relief relative to Q1 earnings on a few dimensions — Q1 left some investors worrying about the beat/raise cadence, the strength of core demand, inorganic driven growth, and perceived low Q2 organic cRPO guide. Instead, Q2 delivered a strong 230bps CC Subscription Revenue beat vs. guide. A portion of that beat came from on-premise early renewals (driven by urgency / demand for AI control tower and AI and Risk products), which have a smaller FY raise impact (as it just time shifted from Q3), but the remainder was a clean ratable ACV beat that was read through as a raise to the FY guide. In addition, Q3 cRPO guide was another strong QoQ increase and no longer has inorganic questions embedded within it, but the overall Q3 revenue guide is ~100bps lighter than it would have been otherwise given the pull-forward of the on-premise renewals into Q2. Management emphasized they are keeping a conservative H2 guide, but demand remains strong, and this makes them confident they can keep delivering a beat/raise.

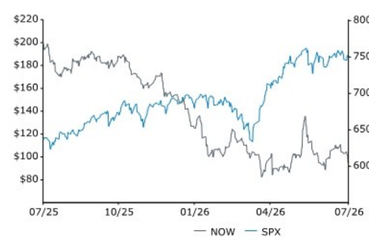
**Intra-quarter "noise" about customers was partially handled, partially an open question.** In the quarter there was news from one large customer, Sanofi, bragging about moving to DIY through the breadth of their vendor software, including ServiceNow. Management pointed out this remains rare, and they are already seeing signals that portions of this plan are being pulled back. Secondly, we asked about the "noise" we heard from CIOs and channel checks on ServiceNow's new SKU lineup — customers complained a price increase was being forced on them. Management was surprised, as their SKU lineup is not a forced move — customers are welcome to stay on their existing SKUs at the same price with normal upgrade cadence and support. In fact, they pointed out that at the Pro Plus level that it is a FREE upgrade. They wondered if this might be the result of some over-zealous sales people and promised to do some internal research and report back what they find.

| | |
|---|---|
| Close Date | 22 Jul 2026 |
| NOW Close Price (USD) | 95.46 |
| Price Target (USD) | 248.00 |
| Upside/(Downside) | 160% |
| 52-Week Range | 210.20/81.24 |
| SPX | 7,498.96 |
| FYE | Dec |
| Div Yield | NA |
| Market Cap (USD) (M) | 98,419 |
| EV (USD) (M) | 95,668 |

| Performance | YTD | 1M | 6M | 12M |
|---|---|---|---|---|
| Absolute (%) | (37.7) | 2.6 | (25.7) | (50.4) |
| SPX (%) | 9.5 | 0.4 | 8.5 | 18.8 |
| Relative (%) | (47.2) | 2.3 | (34.2) | (69.3) |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR




### Investment Implications

Slight changes in Q3 revenue due to pull forward of on-premise contract renewals, and a small increase in Q4+ model based on beat. Lowered GM based on guidance, and raised tax rate to 30% (lower SBC benefit). Using our 50/50 Ro40-based multiples regression (~13x P/NTM revenue), and DCF (~9.6% WACC vs. ~10% in Q1 due to +$6B debt raise, 3% terminal growth) we raise our PT to $248 and maintain our Outperform rating.

| Adjusted EPS | F25A | F26E | F27E |
|---|---|---|---|
| NOW (USD) | 3.50 | **3.92** | **4.69** |
| *OLD* | -- | 4.02 | 4.87 |

| Financials | F25A | F26E | F27E | CAGR |
|---|---|---|---|---|
| Revenues (M) | 13,278 | 16,347 | 19,260 | -- |
| Cost of Goods Sold (M) | 2,517 | 3,546 | 4,271 | -- |
| Operating Earnings (M) | 4,149 | 5,226 | 6,350 | -- |
| FCF (M) | 4,636 | 5,788 | 7,016 | -- |

| Valuation Metrics | F25A | F26E | F27E |
|---|---|---|---|
| Adjusted P/E (x) | 27.2 | 24.4 | 20.3 |
| EV/FCF (x) | 20.6 | 16.5 | 13.6 |
| EV/Sales (x) | 7.2 | 5.9 | 5.0 |
| EV/EBITDA (x) | 37.3 | 31.3 | 23.0 |

Source: Bloomberg, Bernstein estimates and analysis.



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## DETAILS

## NOTES FROM OUR CALL BACK WITH THE CFO AND CPO:

**Q2 cRPO outperformance was driven by a mix of stronger-than-expected early renewals and broad-based new ACV strength.** Roughly half of the cRPO beat was early renewals coming in above expectation and the other half to better-than-expected net new ACV performance. Importantly, the elevated early renewals were not related to pricing changes, but were largely driven by customers expanding into AI Control Tower, Security, and Risk offerings amid heightened demand for cyber and AI governance solutions. The management thinks a 50bps stepdown in constant currency cRPO growth from Q3 to Q4 is a reasonable estimate. For the full year subscription revenue guidance, the net new ACV outperformance in Q2 was fully passed through to the guidance while the beat from early renewal was more a timing shift of revenue from Q3 into Q2.

**Management continues to see stabilization in the core business, supported by acquisitions that are increasingly pulling through additional platform demand.** While investors remain focused on the contribution from recent acquisitions, management emphasized that organic performance is stabilizing and that products such as Moveworks and Armis are enhancing, rather than replacing, core platform demand. For example, Employee Works and Moveworks are now tightly integrated with Moveworks being the front door for user interface. Armis and security offerings are also driving incremental adoption across the broader platform, resulting in stronger commercial traction than typically seen this early after an acquisition.

**Armis continues to outperform expectations while strengthening ServiceNow's broader security platform strategy.** Armis contributed slightly over 10% of Q2 cRPO beat and the beat in Q2 Armis revenue was flowed through to the full year guidance. But because the size of the beat was relatively small, the rounded full year revenue benefit from Armis still came to ~125bps, same as the guidance provided last quarter. More importantly, management emphasized that Armis is helping accelerate core security growth through bundled solutions spanning exposure management, identity governance, AI governance, and workflow automation, and driving demand for products like SecOps and AI Control Tower with the better-together platform pitch.

**Public sector demand remains strong, with AI, security, and risk management driving increased customer engagement.** Management highlighted a materially improved federal budget environment relative to last year, alongside strong momentum across federal, state, local, and education customers. Demand is increasingly centered around AI governance, cybersecurity, and operational resilience.

**The existing SKUs are not being retired yet and customers retain full flexibility under the new AI packaging framework.** Management pushed back on perceptions that the new AI bundles represent mandatory price increases, reiterating that existing customers can renew their current packages. The company later also clarified that existing SKUs will continue to get feature updates and new functionality, so customers won't be forced to move to the new AI-native SKUs.

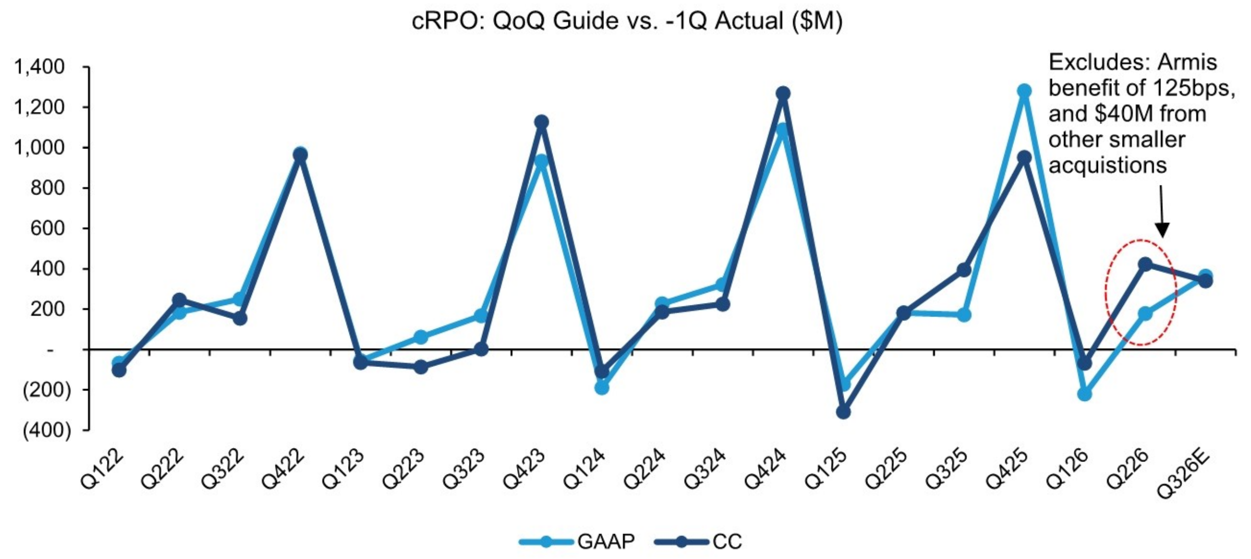
**Management believes domain expertise and proprietary workflow context remain key competitive advantages in enterprise AI.** While investors continue to question whether frontier AI model providers could move further into application software, management argued that enterprise automation requires deep domain knowledge, workflow orchestration, governance, maintenance, and operational context that are difficult to replicate with foundation models alone. The company views AI models as enabling technology, while ServiceNow's differentiation comes from workflow-specific metadata, operational expertise, and enterprise-scale governance capabilities.

**Margin pressure from hyperscaler migration and AI inference costs remains consistent with previously communicated expectations.** Gross margin headwinds continue to be driven primarily by the adoption of ServiceNow products through hyperscaler marketplaces and increased AI consumption. Management expects these pressures to moderate over time as ServiceNow's hyperscaler volume scales with better pricing and inference costs decline, while continued operating discipline and AI-driven efficiency gains are helping offset gross margin headwinds and support operating margin targets.

**Voice AI is emerging as a promising new adoption vector within customer service and employee workflows.** Management highlighted growing customer interest in voice-enabled AI agents, particularly in high-volume customer service environments such as airlines. The company has built a multi-modal voice architecture that integrates with multiple model providers and expects voice interaction capabilities to become increasingly embedded across customer service and employee workflow products over time.

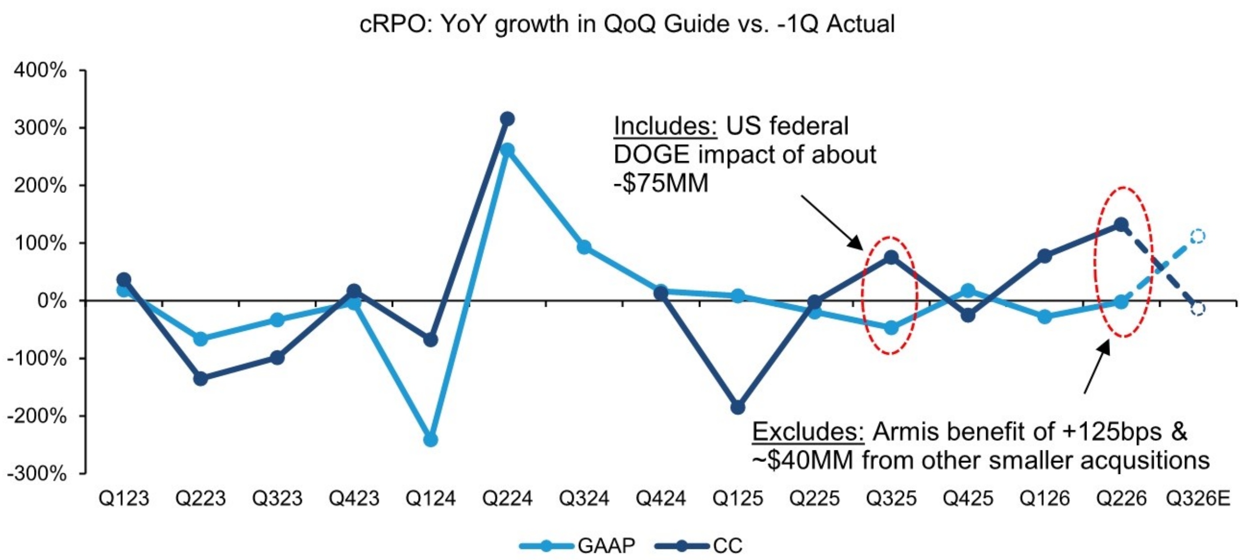
**ServiceNow is accelerating its push into the mid-market with a lightweight, AI-native service management offering.** Management discussed an upcoming conversational-first service desk product designed for rapid deployment with minimal IT involvement. The offering targets digital-native and mid-market customers, leveraging AI from the ground up while providing an easier entry point into the broader ServiceNow ecosystem.

EXHIBIT 1: **The guided QoQ increase in cRPO for Q3 is strong compared to previous years.**



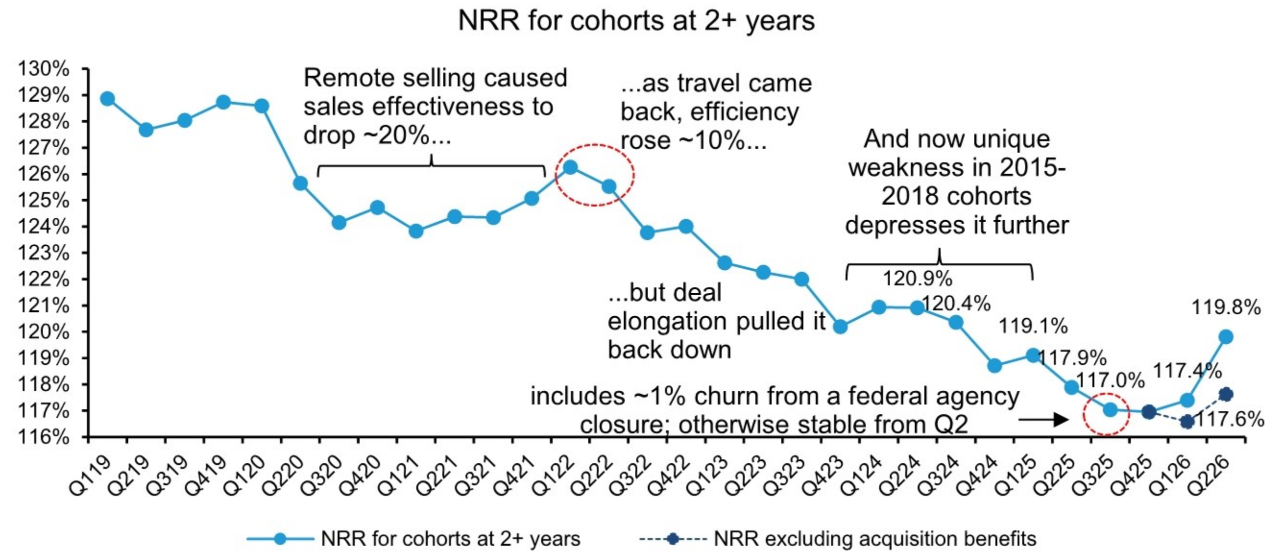

Source: Company reports, Bernstein analysis

EXHIBIT 2: **The YoY growth in incremental Q3 cRPO laps a tough -1 year comp, but as is seen in ex 1 the $-level is very strong.**



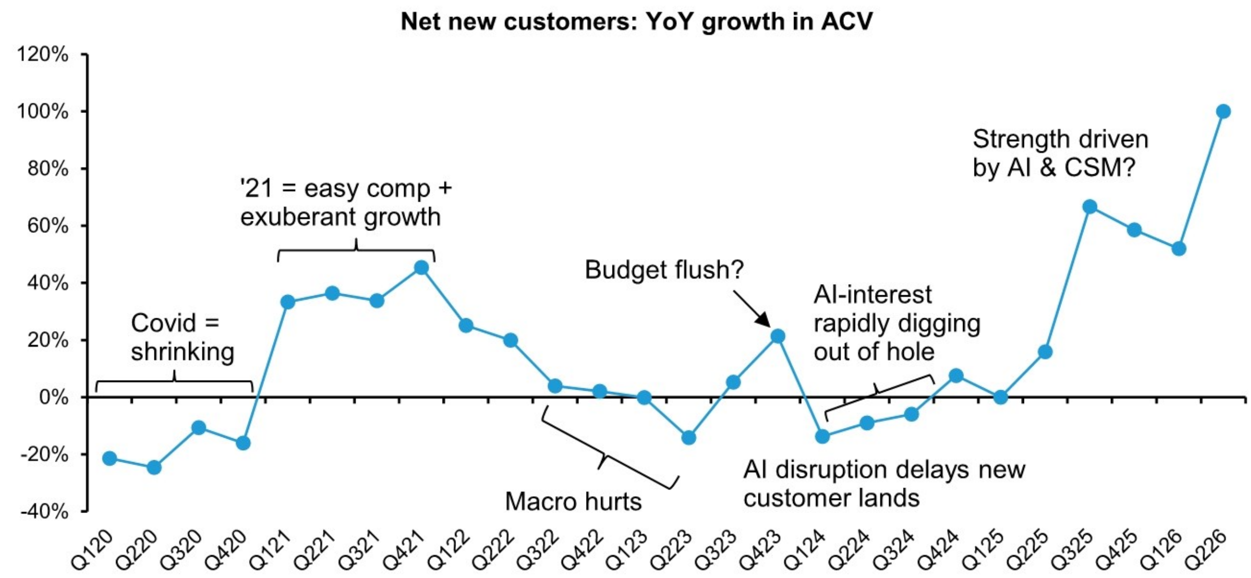

Source: Company reports, Bernstein analysis

EXHIBIT 3: **Imputed NRR started dropping by the 2nd half of 2022, pulled down initially by deal elongation and spend pressure. Then in 2024 the effect seems particularly localized to a four year cohort from 2015-2018. Excluding the ~1% churn impact in Q3'25, NRR would have stayed around the same level as Q2'25 since then. And even assuming the benefits of acquisitions boosted the NRR, NRR excluding those benefits also showed a nice step-up this quarter.**



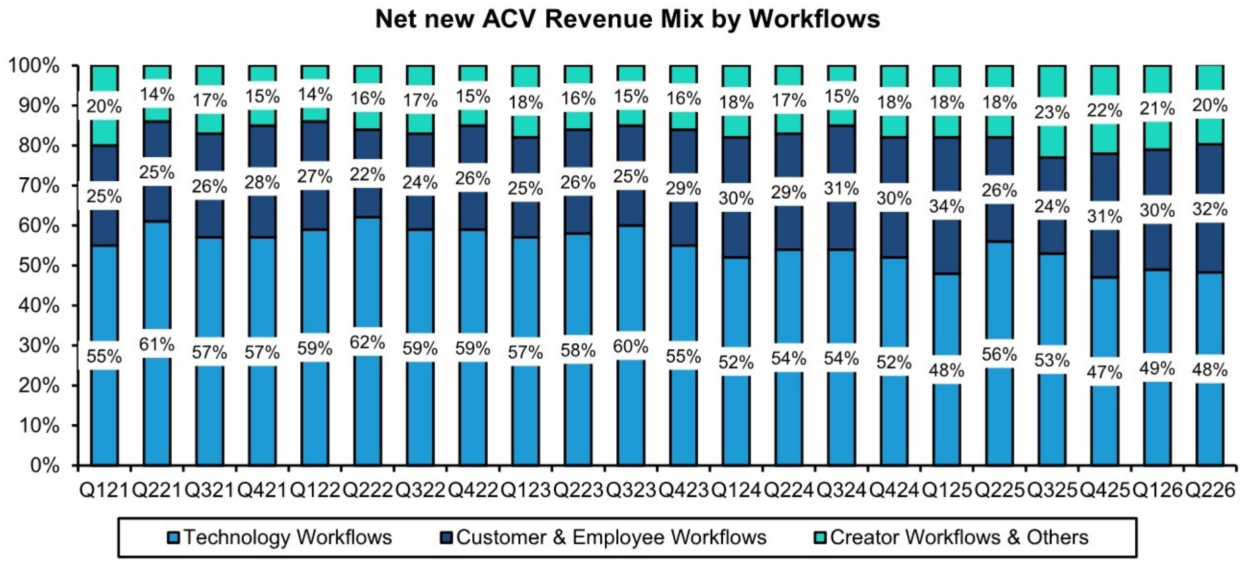

Source: Company presentation, Bernstein estimates and analysis (all data)

EXHIBIT 4: **As macro issues took hold in early 2023, there was a pronounced dip in YoY growth for new customer ACV. That started to improve by end of 2023, perhaps reflecting unspent budget being used, but then in 2024 GenAI distraction seems to have mimicked the problem. Q1'25 remained flat but we are seeing an uptick since Q2'25 and even more meaningfully in Q3 and Q4 as the new AI features help the company land more and larger deals. The strength in net new ACV persisted throughout H1'26 with an even stronger growth this quarter.**



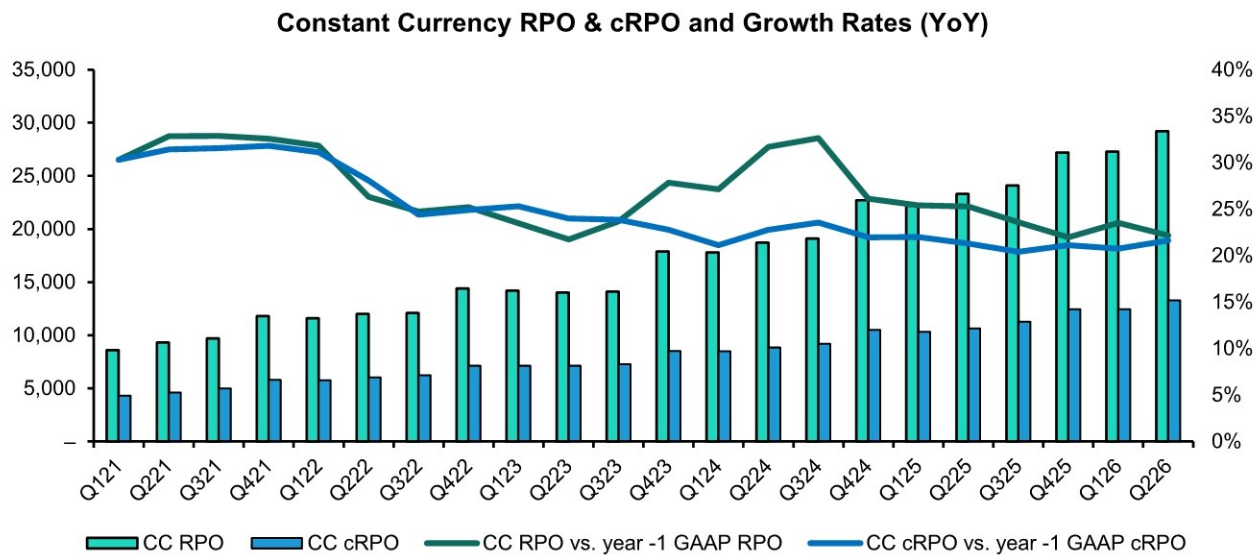

Source: Company presentation, Bernstein estimates and analysis (all data)

EXHIBIT 5: **The mix between the three segments has stayed stable over the past 3 quarters**




Source: Company reports, Bernstein analysis

EXHIBIT 6: **Both constant currency RPO and cRPO YoY growth remained above 20% this quarter**




Source: Company reports, Bernstein analysis

EXHIBIT 7: **ServiceNow results vs consensus and our estimates**

| | Reported ('000) | | | FQ2 2026 Estimates | | | |
|---|---|---|---|---|---|---|---|
| | Q225 | Q226 | yoy | Cons | vs. Actual | Bernstein | vs. Actual |
| **[Non-GAAP]** | | | | | | | |
| **Revenue** | 3,215,000 | 3,987,000 | 24% | 3,926,632 | 2% | 3,984,835 | 0% |
| COGS | 611,000 | 880,000 | 44% | 816,721 | 8% | 891,498 | -1% |
| Gross Profit | 2,604,000 | 3,107,000 | 19% | 3,109,910 | 0% | 3,093,337 | 0% |
| | | | | | | | |
| R&D | 531,000 | 613,000 | 15% | 662,033 | -7% | 654,292 | -6% |
| S&M | 954,000 | 1,116,000 | 17% | 1,198,682 | -7% | 1,169,005 | -5% |
| G&A | 164,000 | 206,000 | 26% | 203,811 | 1% | 192,641 | 7% |
| Operating Profit | 955,000 | 1,172,000 | 23% | 1,045,385 | 12% | 1,077,399 | 9% |
| | | | | | | | |
| EBT | 1,068,000 | 1,449,000 | 36% | 1,107,639 | 31% | 1,169,379 | 24% |
| Net Income | 854,000 | 930,000 | 9% | 892,049 | 4% | 864,435 | 8% |
| **EPS** | **0.82** | **0.90** | **10%** | **0.87** | **3%** | **0.84** | **8%** |
| | | | | | | | |
| **[GAAP]** | | | | | | | |
| Revenue | 3,215,000 | 3,987,000 | 24% | 3,926,632 | 2% | 3,984,835 | 0% |
| Subscription | 3,113,000 | 3,877,000 | 25% | 3,814,230 | 2% | 3,855,078 | 1% |
| Prof Svcs | 102,000 | 110,000 | 8% | 112,402 | -2% | 129,758 | -15% |
| COGS | 724,000 | 1,169,000 | 61% | 965,851 | 21% | 1,135,975 | 3% |
| Gross Profit | 2,491,000 | 2,818,000 | 13% | 2,960,781 | -5% | 2,848,860 | -1% |
| Margin | 77% | 71% | -7% | 75% | | 71% | |
| | | | | | | | |
| R&D | 734,000 | 915,000 | 25% | 900,686 | 2% | 927,441 | -1% |
| S&M | 1,128,000 | 1,372,000 | 22% | 1,368,889 | 0% | 1,362,450 | 1% |
| G&A | 271,000 | 369,000 | 36% | 317,497 | 16% | 297,149 | 24% |
| Operating Profit | 358,000 | 162,000 | -55% | 373,708 | -57% | 261,820 | -38% |
| Margin | 11% | 4% | | 10% | | 7% | |
| | | | | | | | |
| Other Income (expense) | 113,000 | 276,000 | 144% | (62,405) | | 198,019 | 39% |
| EBT | 471,000 | 438,000 | -7% | 436,113 | 0% | 459,839 | -5% |
| Tax provisions | 86,000 | 140,000 | 63% | 59,495 | 135% | 68,976 | 103% |
| Net Income | 385,000 | 298,000 | -23% | 376,618 | -21% | 390,863 | -24% |
| | | | | | | | |
| EPS | 0.37 | 0.29 | -22% | 0.34 | -15% | 0.38 | -23% |

| | Reported ('000) | | | FQ2 2026 Estimates | | | |
|---|---|---|---|---|---|---|---|
| | Q225 | Q226 | yoy | Cons | vs. Actual | Bernstein | vs. Actual |
| Gross Retention | 98% | 98% | 0% | 98.2% | 0% | 97% | 1% |
| Net Retention (estimated) | 119.3% | 120.9% | 1.5% | | | 119.0% | 1.6% |
| | | | | | | | |
| Adj. Free Cash Flow | 535,000 | 634,000 | 19% | 650,917 | -3% | 752,213 | -16% |
| | | | | | | | |
| # customers with >$5M ACV | 533 | 658 | 23% | | | | |
| ACV/customer >$5M, millions | 14.4 | 15.2 | 6% | | | | |
| Deals >$1M net new ACV in quarter | 89 | 123 | 38% | | | | |

Source: Company reports, Bloomberg, Bernstein estimates and analysis

## APPENDIX - FINANCIAL FORECASTS

EXHIBIT 8: **ServiceNow Financial Summary**

| ServiceNow | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | Q126 | Q226 | Q326 | Q426 | 2026 | 2027 | 2028 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| $, Thousands | 12/31/2020 | 12/31/2021 | 12/31/2022 | 12/31/2023 | 12/31/2024 | 12/31/2025 | 3/31/2026 | 6/30/2026 | 9/30/2026 | 12/31/2026 | 12/31/2026 | 12/31/2027 | 12/31/2028 |
| Income Statement | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | Q126 | Q226 | Q326 | Q426 | 2026 | 2027 | 2028 |
| **Total Revenue** | **4,519,484** | **5,895,000** | **7,245,000** | **8,971,000** | **10,984,000** | **13,278,000** | **3,770,000** | **3,987,000** | **4,144,241** | **4,445,618** | **16,346,859** | **19,259,859** | **22,804,133** |
| Cost of Revenue (Non-GAAP) | 801,479 | 1,102,000 | 1,275,000 | 1,590,000 | 1,907,000 | 2,517,000 | 782,000 | 880,000 | 905,006 | 978,880 | 3,545,886 | 4,270,980 | 4,932,448 |
| **Gross Profit (Non-GAAP)** | **3,718,005** | **4,793,000** | **5,970,000** | **7,381,000** | **9,077,000** | **10,761,000** | **2,988,000** | **3,107,000** | **3,239,235** | **3,466,738** | **12,800,973** | **14,988,878** | **17,871,684** |
| R&D (Non-GAAP) | 740,263 | 990,000 | 1,252,000 | 1,513,000 | 1,862,000 | 2,148,000 | 582,000 | 613,000 | 627,457 | 642,643 | 2,465,100 | 2,866,497 | 3,347,009 |
| S&M (Non-GAAP) | 1,533,427 | 1,903,000 | 2,355,000 | 2,796,000 | 3,288,000 | 3,755,000 | 1,041,000 | 1,116,000 | 1,025,184 | 1,144,713 | 4,326,897 | 4,913,769 | 5,671,713 |
| G&A (Non-GAAP) | 323,094 | 418,000 | 503,000 | 583,000 | 673,000 | 709,000 | 166,000 | 206,000 | 200,793 | 210,732 | 783,525 | 858,183 | 921,491 |
| Total Operating Expenses (Non-GAAP) | 2,596,784 | 3,310,000 | 4,110,000 | 4,892,000 | 5,823,000 | 6,612,000 | 1,789,000 | 1,935,000 | 1,853,435 | 1,998,087 | 7,575,522 | 8,638,449 | 9,940,214 |
| **Operating Income (Non-GAAP)** | **1,121,221** | **1,483,000** | **1,860,000** | **2,489,000** | **3,254,000** | **4,149,000** | **1,199,000** | **1,173,000** | **1,385,800** | **1,468,651** | **5,226,451** | **6,350,430** | **7,931,471** |
| Margin % | 25% | 25% | 26% | 28% | 30% | 31% | 32% | 29% | 33% | 33% | 32% | 33% | 35% |
| Interest income and other, net | 21,411 | 3,000 | 44,000 | 246,000 | 374,000 | 437,000 | 170,000 | 276,000 | 82,786 | 88,026 | 616,812 | 554,784 | 855,773 |
| **[Non-GAAP] Earnings before taxes** | **1,142,632** | **1,486,000** | **1,904,000** | **2,735,000** | **3,628,000** | **4,586,000** | **1,369,000** | **1,449,000** | **1,468,586** | **1,556,677** | **5,843,263** | **6,905,214** | **8,787,244** |
| Provision for income taxes | 217,100 | 283,000 | 361,000 | 520,000 | 726,000 | 917,000 | 357,000 | 519,000 | 440,576 | 467,003 | 1,783,579 | 2,071,564 | 2,636,173 |
| **Net income (loss)** | **925,532** | **1,203,000** | **1,543,000** | **2,215,000** | **2,902,000** | **3,669,000** | **1,012,000** | **930,000** | **1,028,010** | **1,089,674** | **4,059,684** | **4,833,650** | **6,151,071** |
| **Net income attributable to common shareholders** | **925,532** | **1,203,000** | **1,543,000** | **2,215,000** | **2,902,000** | **3,669,000** | **1,012,000** | **930,000** | **1,028,010** | **1,089,674** | **4,059,684** | **4,833,650** | **6,151,071** |
| Earnings (loss) per share - Basic | $0.96 | $1.21 | $1.50 | $2.17 | $2.82 | $3.54 | $0.98 | $0.90 | $0.99 | $1.05 | $3.92 | $4.69 | $5.99 |
| **Earnings (loss) per share - Diluted** | **$1.77** | **$1.19** | **$1.52** | **$2.15** | **$2.78** | **$3.50** | **$0.97** | **$0.90** | **$0.99** | **$1.05** | **$3.92** | **$4.69** | **$5.99** |
| Balance Sheet | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | Q126 | Q226 | Q326 | Q426 | 2026 | 2027 | 2028 |
| Cash and cash equivalents | 1,676,794 | 1,728,000 | 1,470,000 | 1,897,000 | 2,304,000 | 3,726,000 | 2,702,000 | 2,503,000 | 2,674,944 | 3,812,852 | 3,812,852 | 7,081,099 | 10,127,096 |
| Short-term investments | 1,415,242 | 1,576,000 | 2,810,000 | 2,980,000 | 3,458,000 | 2,558,000 | 2,480,000 | 2,161,000 | 2,284,277 | 2,715,391 | 2,715,391 | 3,647,418 | 5,121,186 |
| Receivables | 1,009,415 | 1,390,000 | 1,725,000 | 2,036,000 | 2,240,000 | 2,627,000 | 1,713,000 | 2,201,000 | 1,882,972 | 3,109,503 | 3,109,503 | 3,604,613 | 3,909,978 |
| Other current assets | 420,391 | 526,000 | 649,000 | 864,000 | 1,185,000 | 1,560,000 | 1,540,000 | 1,649,000 | 2,056,342 | 1,980,982 | 1,980,982 | 1,975,262 | 2,015,632 |
| **Total current assets** | **4,521,842** | **5,220,000** | **6,654,000** | **7,777,000** | **9,187,000** | **10,471,000** | **8,435,000** | **8,514,000** | **8,898,535** | **11,618,729** | **11,618,729** | **16,308,393** | **21,173,891** |
| Total PPE | 659,641 | 766,000 | 1,053,000 | 1,358,000 | 1,763,000 | 2,289,000 | 2,250,000 | 2,177,000 | 2,294,832 | 2,424,556 | 2,424,556 | 2,656,255 | 2,990,299 |
| Other assets | 3,533,574 | 4,812,000 | 5,592,000 | 8,252,000 | 9,433,000 | 13,278,000 | 13,696,000 | 20,975,000 | 21,052,110 | 21,803,926 | 21,803,926 | 23,421,967 | 26,596,666 |
| **Total assets** | **8,715,057** | **10,798,000** | **13,299,000** | **17,387,000** | **20,383,000** | **26,038,000** | **24,381,000** | **31,666,000** | **32,245,477** | **35,847,211** | **35,847,211** | **42,386,615** | **50,760,857** |
| Accounts payable | 34,236 | 89,000 | 274,000 | 126,000 | 68,000 | 204,000 | 427,000 | 162,000 | 202,966 | 294,696 | 294,696 | 340,342 | 444,294 |
| Other current liabilities | 3,702,908 | 4,860,000 | 5,731,000 | 7,239,000 | 8,290,000 | 10,239,000 | 9,556,000 | 11,991,000 | 11,559,005 | 14,007,458 | 14,007,458 | 15,658,523 | 17,462,725 |
| **Total current liabilities** | **3,737,144** | **4,949,000** | **6,005,000** | **7,365,000** | **8,358,000** | **10,443,000** | **9,983,000** | **12,153,000** | **11,761,971** | **14,302,154** | **14,302,154** | **15,998,865** | **17,907,020** |
| Deferred revenue, non-current | 45,346 | 63,000 | 70,000 | 81,000 | 95,000 | 120,000 | 99,000 | 135,000 | 118,025 | 142,871 | 142,871 | 161,237 | 180,429 |
| Other liabilities, non-current | 2,098,086 | 2,091,000 | 2,192,000 | 2,313,000 | 2,321,000 | 2,511,000 | 2,571,000 | 6,862,000 | 6,862,000 | 6,862,000 | 6,862,000 | 6,862,000 | 6,862,000 |
| **Total non-current liabilites** | **2,143,432** | **2,154,000** | **2,262,000** | **2,394,000** | **2,416,000** | **2,631,000** | **2,670,000** | **6,997,000** | **6,980,025** | **7,004,871** | **7,004,871** | **7,023,237** | **7,042,429** |
| **Total Liabilities** | **5,880,576** | **7,103,000** | **8,267,000** | **9,759,000** | **10,774,000** | **13,074,000** | **12,653,000** | **19,150,000** | **18,741,996** | **21,307,026** | **21,307,026** | **23,022,102** | **24,949,449** |
| **Total Equity** | **2,834,481** | **3,695,000** | **5,032,000** | **7,628,000** | **9,609,000** | **12,964,000** | **11,728,000** | **12,516,000** | **13,503,481** | **14,540,185** | **14,540,185** | **19,364,513** | **25,811,407** |
| **Total Liabilities and Equity** | **8,715,057** | **10,798,000** | **13,299,000** | **17,387,000** | **20,383,000** | **26,038,000** | **24,381,000** | **31,666,000** | **32,245,477** | **35,847,211** | **35,847,211** | **42,386,615** | **50,760,857** |
| Balance Sheet Check | - | - | - | - | - | - | - | - | - | - | - | - | - |
| Cash Flow Statement | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | Q126 | Q226 | Q326 | Q426 | 2026 | 2027 | 2028 |
| Cash used for operating actitivites | 1,786,599 | 2,191,000 | 2,723,000 | 3,398,000 | 4,267,000 | 5,444,000 | 1,670,000 | 587,000 | 1,008,968 | 2,994,514 | 6,260,482 | 7,972,639 | 9,659,564 |
| Cash used for investing actitivites | (1,506,872) | (1,607,000) | (2,583,000) | (2,167,000) | (2,685,000) | (1,689,000) | (451,000) | (6,654,000) | (680,689) | (1,667,094) | (9,452,783) | (3,938,349) | (5,821,773) |
| Cash used for financing actitivites | 596,647 | (506,000) | (344,000) | (803,000) | (1,159,000) | (2,340,000) | (2,236,000) | 5,874,000 | (156,334) | (189,512) | 3,292,154 | (766,044) | (791,795) |
| **Increase (decrease) in cash, cash equivalents, and r** | **901,439** | **53,000** | **(257,000)** | **429,000** | **406,000** | **1,422,000** | **(1,022,000)** | **(193,000)** | **171,944** | **1,137,908** | **94,852** | **3,268,247** | **3,045,996** |
| cash, cash equivalents and restricted cash at beginni | 777,991 | 1,679,430 | 1,732,000 | 1,475,000 | 1,904,000 | 2,310,000 | 3,732,000 | 2,710,000 | 2,517,000 | 2,688,944 | 3,732,000 | 3,826,852 | 7,095,099 |
| **Cash, cash equivalents and restricted cash at end of** | **1,679,430** | **1,732,000** | **1,475,000** | **1,904,000** | **2,310,000** | **3,732,000** | **2,710,000** | **2,517,000** | **2,688,944** | **3,826,852** | **3,826,852** | **7,095,099** | **10,141,096** |
| **Cash flow from operations** | **1,786,599** | **2,191,000** | **2,723,000** | **3,398,000** | **4,267,000** | **5,444,000** | **1,670,000** | **587,000** | **1,008,968** | **2,994,514** | **6,260,482** | **7,972,639** | **9,659,564** |
| **Adj. FCF** | **1,448,272** | **1,867,000** | **2,178,000** | **2,728,000** | **3,438,000** | **4,636,000** | **1,665,000** | **634,000** | **762,476** | **2,726,625** | **5,788,102** | **7,016,006** | **8,457,751** |

Source: Company reports, Bernstein estimates and analysis

## BERNSTEIN TICKER TABLE

| | | | 22 Jul 2026 | | TTM | | Adjusted EPS | | | Adjusted P/E (x) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | Closing | Price | Rel. | | | | | | | |
| Ticker | Rating | Cur | Price | Target | Perf. | Cur | 2025A | 2026E | 2027E | 2025A | 2026E | 2027E |
| NOW (ServiceNow) | O | USD | 95.46 | **248.00** | (69.3)% | USD | 3.50 | **3.92** | **4.69** | 27.2 | 24.4 | 20.3 |
| *OLD* | | | | 236.00 | | | | 4.02 | 4.87 | | | |
| SPX | | | 7,498.96 | | | | | | | | | |

**PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD**

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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### VALUATION METHODOLOGY

#### ServiceNow Inc

Our price target of $248 is an equal 50/50 average of DCF (with 9.6% WACC and 3% terminal growth) and 13x Price / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is based on our rule-of-40 sector valuation regression. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

### RISKS

#### ServiceNow Inc

Downside risks beyond the macroeconomic risks include: larger industry players deploy defense or better products to increase client retention and compete with ServiceNow; fail to develop new solutions and expand to new TAM; a slowdown in revenue growth could lead to a decrease in investor confidence, leading to a multiple contraction.

### RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

### EQUITY RATINGS DEFINITIONS

#### Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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Bernstein brand stock ratings are based on a 12-month time horizon.

**Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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| Underperform | SELL | 13.1% | 13.6% |

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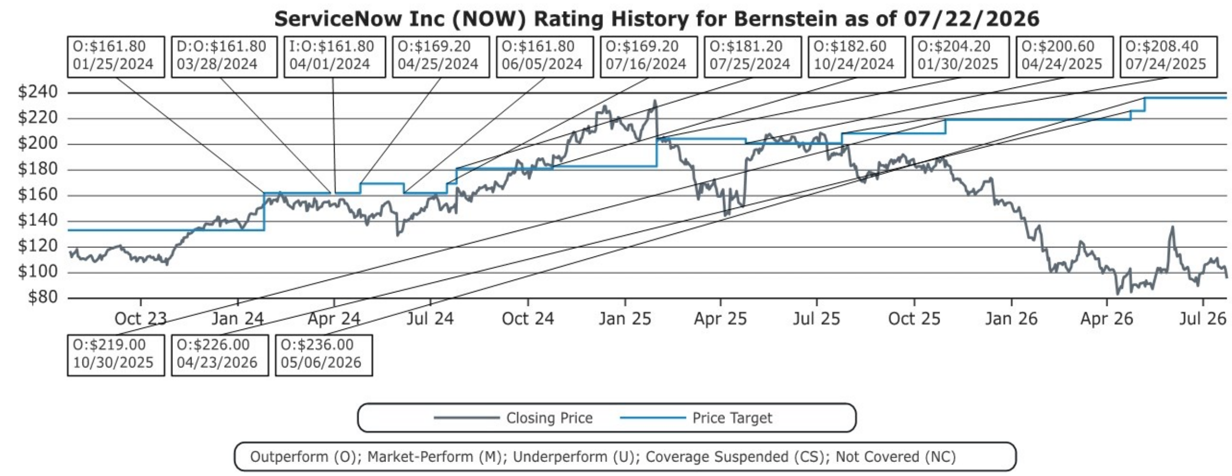


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